



NITI Aayog

Strategy for

New India @ 75

STRATEGY FOR NEW INDIA @ 75

MODULE - 2

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EMPLOYMENT & LABOUR REFORMS

OBJECTIVES



- 1) Complete Codification of Central Labour Laws into 4 Codes by 2019.
- 2) Increase Female Labour Force Participation to at least 30% by 2022-23.
- 3) Disseminate publicly available data collected through rigorous household and enterprise surveys on quarterly basis by 2022-23.
- 4) Encourage increased formalization of the labour force by reforming labour laws, easing the industrial relations.

2 EMPLOYMENT & LABOUR REFORMS

PRESENT SCENARIO



- Out of the total workforce of 52 crore, agriculture employed nearly 49%, while contributing to only 15% of the GVA.
- Only about 29% of China's workforce are employed in agriculture.
- Industry and Services accounted for 13.7% and 37.5% of employment, while making up for 23% and 62% of GVA, respectively.
- Indian economy needs to generate nearly 70 lakh jobs annually to absorb the net addition to the workforce.
- Taking into account, the shift of labour force from low productivity employment, 80-90 lakh new jobs will be needed in the coming years.

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EMPLOYMENT & LABOUR REFORMS

AGRICULTURE & ALLIED SECTORS

- Agriculture, forestry and fishing.

49% workforce accounting for 15% of GVA



INDUSTRY

- Mining and quarrying.
- Manufacturing.
- Electricity, gas, water supply and other utility services.

13.7% workforce accounting for 23% of GVA



SERVICES SECTOR

- Construction.
- Trade, hotels, transport, communication and services related to broadcasting.
- Financial, real estate and professional services.
- Public administration, defence and other services.

37.5% workforce accounting for 62% of GVA



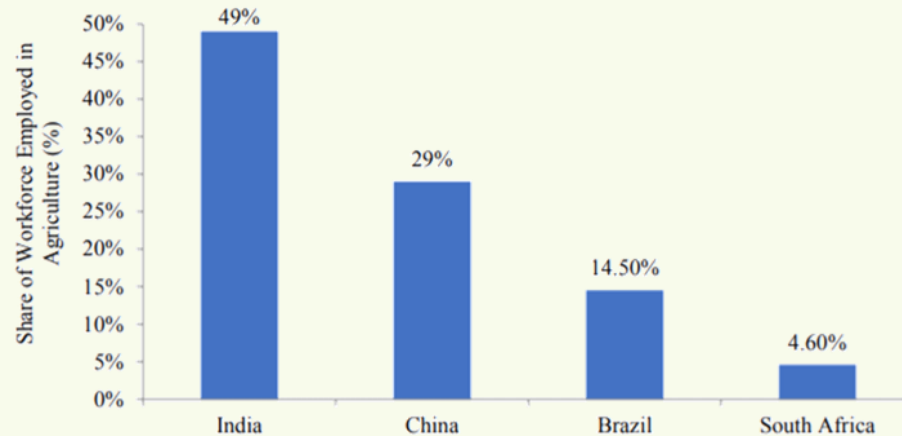
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EMPLOYMENT & LABOUR REFORMS

PRESENT SCENARIO

DOMINATION OF INFORMAL SECTOR & LOW
FEMALE LABOUR FORCE PARTICIPATION RATE

SHARE OF WORKFORCE EMPLOYED IN AGRICULTURE



Source: NSSO; World Bank

- Micro and small-sized firms, as well as informal sector firms dominate the employment landscape in India.
- As per the National Sample Survey 73rd round, for the period 2015-16, there were 6.34 Cr un-incorporated non-agricultural MSMEs in the Country. They provide employment to 11.1 Cr workers.
- India's informal sector employs approximately 85% of all workers.
- Female Labour Force Participation Rate in India was 23.7% in 2011-12, compared to 61% in China.



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EMPLOYMENT & LABOUR REFORMS

PRESENT SCENARIO

SIMPLIFICATION OF LABOUR LAWS



- Looking at the complexity, Govt. is simplifying and rationalising number of overlapping labour laws.
- One of the Govt's key initiatives is to rationalize 38 central labour laws into four codes, namely –
 - Wages
 - Safety and working conditions
 - Industrial relations
 - Social security and welfare

PRESENT SCENARIO

WHAT ARE THE RECENT MEASURES OF THE GOVT.?



प्रधानमंत्री
रोज़गार प्रोत्साहन योजना
Pradhan Mantri
Rojgar Protsahan Yojana



कर्मचारी राज्य बीमा निगम
Employees' State Insurance Corporation
(Ministry of Labour & Employment, Government of India)



- MUDRA Yojana.
- Pradhan Mantri Rojgar Protsahan Yojana.
- EPFO premium is portable so that, workers can change the jobs, without fear of losing their provident fund benefits.
- Govt. recently made available publicly the data on employment collected by the Employees' Provident Fund Organization (EPFO), Employees' State Insurance Corporation (ESIC) and National Pension Scheme (NPS).

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EMPLOYMENT & LABOUR REFORMS

CONSTRAINTS

4

There is no timely and periodic estimates of the workforce i.e. lack of the employability data.



1

Low productivity and predominantly informal sector with abysmally low wages.

2

Large number of workers are engaged in the unorganised sector and not covered by labour regulations and social security.

3

47% of those coming out of higher educational institutions are only employable as per India Skill Report, 2018.

POOR DATA
AND
INFORMAL
SECTOR



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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

1

1 ENHANCE SKILLS & APPRENTICESHIPS



Labour Market Information (LMI) refers to all the data, quantitative and qualitative, which describes the labour market.

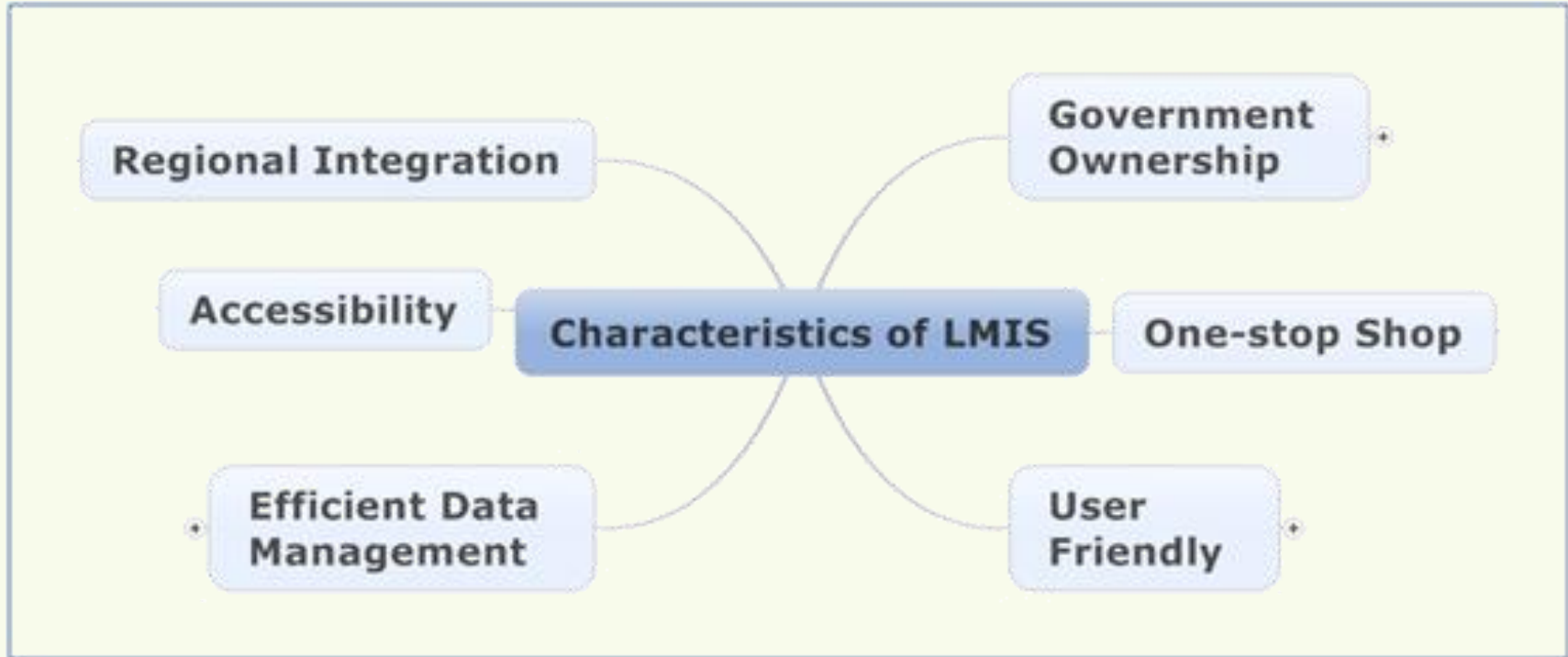
- The Labour Market Information System (LMIS) is important for identifying skill shortages, training needs and employment created.
- LMIS should be made functional urgently.
- Ensure wider use of apprenticeship programmes by all the enterprises.
- This requires an enhancement of the stipend amount paid by the Govt. for sharing the costs of apprenticeships with employers.



National Skill Development Agency
Ministry of Skill Development and Entrepreneurship
Government of India

Skills Exchange

A Labour Market Information System



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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

2

LABOUR LAW REFORMS



- Complete the codification of labour laws at the earliest.
- Simplify and modify labour laws applicable to the formal sector.
- Make the compliance more effective and transparent.
- National Policy for Domestic Workers is to be brought to recognize their rights and promote better working conditions.

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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

3

ENHANCE FEMALE LABOUR FORCE PARTICIPATION



- Ensure the implementation of and employers' adherence to the recently passed Maternity Benefit (Amendment) Act, 2017 and the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.
- It is also important to ensure implementation of these legislations in the informal sector.
- Ensure that skills training programmes and apprenticeships include women.

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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

4

IMPROVE DATA COLLECTION ON EMPLOYMENT



- Ensure that data collection for the Periodic Labour Force Survey (PLFS) of households initiated in April, 2017 is completed as per the schedule and data disseminated by 2019.
- Conduct an Annual Enterprise Survey using the Goods and Service Tax Network as the sample frame.
- Increase the use of administrative data like EPFO, ESIC and the NPS to track regularly the state of employment and adjusting for the formalization of the workforce.



कर्मचारी राज्य बीमा निगम
Employees' State Insurance Corporation
(Ministry of Labour & Employment, Government of India)



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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

5

EASE INDUSTRIAL RELATIONS TO
ENCOURAGE FORMALIZATION

- Increase severance pay (an amount paid to an employee on the early termination of a contract), in line with global best practices.
- Overhaul the labour dispute resolution system to resolve disputes quickly.
- Strengthen labour courts/tribunals for timely dispute resolution.

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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

6

WAGES



- Make compliance with the national floor level minimum wages as a mandatory feature.
- Expand the Minimum Wages Act, 1948, to cover all the jobs.
- Enforce the payment of wages through cheque or Aadhaar-enabled payments for all.



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EMPLOYMENT & LABOUR REFORMS

WAY FORWARD

7

WORKING CONDITIONS AND SOCIAL SECURITY



- Enact a comprehensive occupational health and safety legislation based on risk assessment, employer-worker co-operation.
- Enhance Occupational Safety and Health in the informal sector through capacity building.
- Ensure compulsory registration of all establishments to ensure better monitoring of occupational safety.

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